Mohnish Pabrai's Session with SumZero on June 10, 2025

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Divya: Welcome, everybody. Today, we have the privilege of chatting with Mohnish Pabrai, who is an absolute legend in the value investing community. We have a huge turnout for this event. We are also super thankful to AlphaSense for sponsoring this and helping us put this all together. Mohnish, it is great to see you again. This is the third or fourth time we have done one of these with you. Although it is the second time that we have done it from your new library, which I am always excited to see in the background.

I wanted to start with something that I know is near and dear to your heart, and that is Berkshire. Greg Abel is taking over on January 1st. In the past, you have said that you almost view Berkshire stock as a placeholder for periods of time when you do not have a big investment idea or high high-conviction idea to put fresh capital into. I am wondering if you still feel that way and if the passing of the torch to Greg at all changes your thoughts on Berkshire as an alternative to the S&P 500 or as a placeholder for those of us who are more involved in active investing.

Mohnish: Well, Divya, it is always a pleasure. It is great to be here for our annual banter. It is very wonderful. Regarding Greg and Berkshire, the baton was passed a few years ago. From a practical sense, Greg has been running Berkshire for quite some time. Warren had passed over all of the wholly owned companies to be under Greg a few years back. That is where most of Berkshire is, and there are a few things that Warren is still handling, like the public portfolio and so on, and those are going to get passed on in the next six months or so. From a practical point of view, we have already seen Berkshire running under Greg's leadership for some time, and we have not noticed any difference. The baton got passed, and we did not even notice anything. As we look at the situation today, Berkshire in many ways is like an index. It is like investing in an index fund, but today it is a better index to invest in than the S&P. In the past, like you mentioned, I have thought of it as a placeholder, but it is a better vehicle. Passive investing is more than half of all investing in the US, and one of the negatives with passive investing (we still do not see the extreme impacts of that) is that you get this lemming behavior where a few stocks get money allocated to them regardless of fundamentals, because they are in the index. That is why we see some of this Mag 7 stuff and all of that going on. But yes, given Berkshire's large cash position, modest valuation relatively young leader, it is a good place to be.

Divya: Is his ethos the same? I mean, there are different people. I hear your point that he has been there for a while and you have not noticed a difference, but Buffett himself is a unicorn, and so tough to replicate him. As far as making new big bets, do you feel like his ethos is the same, or if it is different, how is it different?

Mohnish: Well, they are different leaders. We will never have another Warren Buffett. That is one and done. Just like we are never going to have another Jesus. Warren, Munger, and all of those. That is the leader of the church, and that is not going to change. Charlie used to say that Greg has some important qualities that are superior to Warren's, and he never really expanded on that. He never went on to explain what those qualities were. But one of the big differences between Greg and Warren is that Warren has always been very hands-off on the subsidiaries, like he said, delegating to the point of abdication, so these subsidiaries are left on their own. Greg is a lot more hands-on. He is interested in some type of optimization and some sort of oversight into making sure that these very large, wonderful businesses in Berkshire are getting to their potential. Warren, for example, never pursued synergies between the different subsidiaries. Greg actively pursues that. Greg actively has the different CEOs interact and meet with each other. There is a lot more rolling up your shirt sleeves and diving into the individual businesses. We may see somewhat better performance coming out of the existing subsidies. Where Warren stands almost unrivalled is in the deployment of capital. He was just exceptional. Though he did make mistakes, not being aggressive enough in 2008 and 2020. Greg may do better in those periods.

The one final area where Greg has a big advantage is the US grid, and the US energy footprint needs a huge step function in investment because we have got all the AI and data centers happening, and it is a mind-boggling number in terms of how much needs to go in. Berkshire would be kind of the perfect company to leverage that because they have a very large subsidiary in energy. The negative is that there have been issues recently where a lot of liabilities have been passed to utility operators through the court system, the California fires, and so on, bankrupting utilities and such. Berkshire was blindsided by that. They are going to look for a lot more legal protection on that front. But that is a big opportunity for them.

Divya: That is interesting. This almost sounds like a little bit of a Tim Cook versus Steve Jobs question, but if it ends up being that Greg is more of a Tim Cook, kind of a great operator, that is not a bad outcome for Berkshire.

Mohnish: But he is also a very good capital allocator. What I am saying is that Tim Cook is not an innovator. Tim Cook is not Steve Jobs. If we look at Apple since Steve Jobs, there is no innovation because Apple is a very unusual company. Innovation was always concentrated in one person. It was just driven down. It is very different from Google, Meta, or Microsoft. It was very singularly concentrated in the case of Apple, and that is why Apple has always been a company with very few products and very exceptional products, because it was one guy driving it. In the case of Berkshire, Greg Abel is definitely more of an operator than Warren is, but he is an exceptional capital allocator as well. No one will be as good as Warren Buffett, but Greg is extremely smart about capital allocation and making quick decisions and all of that.

Divya: You mentioned Mag 7. I have to ask you about the seven names. You have on one extreme Tesla, which has declining sales growth on the car front, lots of competition, but lots of promise with Robotaxis, which is a somewhat crazy future that maybe is a few months away, maybe is a few years away. Who knows? On the other hand, you have got Google, which is an incredible franchise, an incredible brand historically thought of as a monopoly, but

now people are calling that into question, and you are seeing that in the stock. I know Mag 7 is not your thing, per se, but have you looked at any of the names and I spotlight Google because it trades at the lowest multiple, arguably a sub-market multiple. It trades cheap relative to the S&P and to the group. I am just curious if you have looked at it at all?

Mohnish: The Mag 7 is such a central part of the economy, and they are unusual in the sense that they are very large and still growing at ridiculous rates. We normally do not see huge companies growing at spectacular rates, but they are still pulling rabbits out of the hat. Munger used to say about Elon, "Never underestimate a man who overestimates himself." It took me, and I still do not fully understand that sentence, but that sentence comes from Charlie's experience with these people who are extreme outliers. I would never count Tesla out, just because when you get someone like Elon all in on something, there are no boundaries. From my point of view, it is especially difficult to invest in something like Tesla, in anything resembling a 10% or bigger bet in my portfolio, it would veer toward the speculative since simply because Elon gets distracted. He goes and runs the government for a while and he has got so many things going on, but probably a mistake on my part. Not being long Elon is probably a mistake. But we have made a lot of mistakes like that. I would say that a company like Google faces real challenges in its core business. If you look at something like the YouTube franchise, that is just so spectacularly mind-blowing that it is a rock not going anywhere. Of course, Android is also great, but I am just saying that search is threatened in a way that it was not threatened a few years ago, and Google has woken up to this. They are fully focused on it. They will probably come out okay. But it is not the cinch that it was a few years back. To me, the Google multiple being low is not really a strong signal that one should go out and buy the stock.

The one that is as close to bulletproof as you can get is Microsoft, because it is so embedded in the enterprise, and because enterprises are like aircraft carriers. They cannot turn on a dime. They cannot suddenly say, "Oh, I am going to use someone else for the search tomorrow." We can make a decision five minutes from now to never use Google search and not even think about it again. But you cannot do that with a lot of Microsoft products. Those are just so deeply entrenched and embedded, and Satya is such an exceptional leader. To me, of course, Microsoft, the multiple is higher. It is interesting. Friday nights, Munger used to host a dinner for friends, family, and some Berkshire managers, about a couple of hundred people. Gates would always show up for that. Three years back, at one of those dinners, Munger's daughter-in-law (who is the one who handled the seating plan), pulled me aside and said, "Mohnish, I do not want you to freak out, but you are going to be sitting next to Bill. The reason I seated you next to Bill is because I know you will not ask him for anything." I said, "Oh, that is the furthest thing from my mind." She said, "Exactly, I know that." I get seated next to Bill for like three hours. We are having a great conversation. I played a game with him. I said, "Bill, I am going to mention stocks, and you tell me whether you are going to go long or short, or indifferent." He said, "Yes, sure." When I mentioned Apple, he said, "Well, that is a very weird company." This is the guy who used to be on Berkshire's board, and he is with Warren and all of that. What he was saying is that it is all so heavily concentrated in these few products.

If you think about it, what OpenAI is trying to do with Jony Ive coming in is, take the brick out of our hands. If you take the brick out of our hands, where is Apple? What they are trying to push toward is that you cannot make a better brick. You just need to take the brick out, and it is weird to go around with a brick, even though it is a nice, slim brick, but it is weird to go around. It somehow needs to get integrated into us.

Divya: Well, I am sure that is why Meta is spending billions on glasses and other wearable tech.

Mohnish: Yes. If we ever get down that path where the brick gets threatened, then you have a problem. Apple has a problem because they do not have Steve leading them to take them to the next paradigm. I have a question concerning whether Apple can get to the next paradigm. That was Bill's case. He said, "Well, it is a weird company." That is the way he put it to me. He was not bullish on putting a big bet on Apple while his best buddy is all in on Apple. Of course, he is lightened up. When you look at these different businesses, Tesla probably has the best thing: It has a small allocation just because Elon is there, and things can happen. Google, I would say, falls into the too-hard pile. Apple falls into the too-hard pile. Meta is a juggernaut; it deserves something. It was an easy double. That was a great valuation. Meta is different in the sense that we have Zuck at the helm.

Divya: Sure.

Mohnish: He is a smart guy, and he has shown an ability to be in chameleon. You cannot pin him down and say, "This is Zuck." He is still a learning machine. If you just look at Meta, their acquisitions are mind-blowing; what they have been able to do. Only Google with YouTube can rival that in any way. Meta is not at the el cheapo price. It was a few years back, but Microsoft is firing on all cylinders going to be there.

Divya: When you look at Microsoft, it probably trades 30 to 35 times earnings.

Mohnish: Yes. It is high.

Divya: Meta is a lot cheaper.

Mohnish: The thing is that recurring revenue is a powerful thing to pay for.

Divya: You have said this before, that you are better off owning a name that has long-term growth ahead of it, so you do not have to get too fussy about these specific multiples at which you purchase in. Your entry point is there, but at the same time, and correct me if I am wrong, I do not think you own either of those two names.

Mohnish: I have no Mag 7.

Divya: Yes. That is incredible.

Mohnish: But I will go a little further, Divya, so you can see where I am coming from. I was thinking about this for the last few days. In 2023, I made a bet on metallurgical coal, somewhat different from the Mag 7. In 2025, this year, I made a bet on offshore oil drillers, also somewhat different from the Mag 7. I never thought about it in these terms, but when I look back on these bets, even though the decisions are made completely independently, not looking at one versus the other or any of that, they are in very different spaces. There

is a commonality to them, which I did not even realize till after I had made all the bets. The commonality is that we have four positions. All four of them went through bankruptcy restructuring, and all four of them cleaned out, came out with pristine balance sheets. All the debt was restructured and converted to equity. These businesses are businesses that were always heavily levered. They are just very capital-intensive businesses. To have a minor who is debt-free is like an oxymoron.

Divya: Yes.

Mohnish: It does not exist. These four businesses were all debt-free. Not only were they debt-free when you looked at anything resembling the replacement cost of their assets, but in the case of the offshore drillers, one could argue that they might be trading at 10% of replacement cost. The holy grail of investing is to invest in capital-light businesses that generate high returns on equity. But when you have a business which needs a lot of capital, but you have got these capital assets without paying for them, then in my book, they start looking like a capital light bet and in fact, that is probably what drew me in; the return on equity of these businesses is spectacular. The reason it is spectacular is that the assets would cost maybe 10 or 20 billion, and you got them for 2 billion.

Divya: Let us talk about the metallurgical coal group first. I do not know if you want to start with Warrior, but I hear your point on replacement cost. I would love to hear how you learn that there was this extremely large discrepancy between the cost of building, let us say, the mine today, versus what they spent originally to build it. But if you can just walk me through your Warrior thesis on a simple level, that would be super interesting. I know where you are going to go, but I would love to hear you out on it.

Mohnish: I am not in the stock tip business, so this is just a discussion.

Divya: I totally understand.

Mohnish: I am not asking people to go buy the stock. In fact, you should not buy the stock by listening to a talking head. Not a good idea to do that.

Divya: It is a good example of your philosophy.

Mohnish: In the last two years, I spent a lot of time with miners. I spent a lot of time in the mines thousands of feet below the surface, and spent time at the coal terminals watching the trains getting loaded and ships getting loaded. I even made a trip to Mongolia to see one of the largest surface mining metallurgical coal operations, which is spectacular. That was a great trip. I feel like the last couple of years I have been drinking from a fire hydrant, and still a lot to learn, but it has been great. If you look at a business like Warrior, and I have visited them a few times and they have a wonderful, truly exceptional management team. Coal miners are just the best people. They feed you well, and what you see is what you get. It is just awesome. In the case of Warrior, their mines are some of the best metallurgical coal mines in North America. They have among the lowest costs of production. They have two big advantages. Their mines are in Alabama, southern Appalachia. Their mines are not that far away from the port. Coal is a commodity that is very expensive to transport because it is very bulky. You do not get paid much per ton, and the transport cost per ton can be very high. Logistics with coal

becomes extremely important to have a business that can make money. Warrior does something known as longwall mining.

There are two ways to do it. You can ask God Google about this: longwall mining versus room and pillar mining. Longwall mining is the most efficient way to have an underground coal mine where you have these huge blocks of coal and you are having a sheer go end-to-end. It is already automated. Warrior produces very high-quality metallurgical coal (which is only available in half a dozen countries around the world). They produce very high-quality coal at a very low cost. They have rivers that can take them to the port; they can barge the coal down. They also have multiple railroads. Whereas some of the other miners have one railroad servicing them, and it is a railroad that makes all the money because they have a monopoly on the transport. In fact, when you look at Burlington Northern, which Berkshire bought, one of the first trips Buffett, Munger, and Gates made after they bought Burlington Northern is to the Powder River Basin in Wyoming, because that is where Burlington Northern made so much money with transporting coal. These guys went and wanted to take a look at that facility. They did not own the coal mines, but they owned the coal mines because they were the only toll bridge to get your coal anywhere you wanted it to go.

Warrior is a low-cost producer, with cheap transport to the port. Once you get to the port, then coal is easy to transport anywhere in the world. In pretty much any environment you can imagine, Warrior will be making money because they are so low on the cost curve. You have a debt-free business that is extremely unlikely to ever have a money-losing year. Warrior is maybe two and a half billion market cap. Their reserves are going to go over 40, 50 years. They are going to have some years when they are going to produce one or 2 billion in cash flow, and they are going to have some years when they will produce 500 million in cash flow. Then, some years they produce 300 million. If you are paying two and a half billion for a business, and those are the numbers, where do I sign? I do not get that with the Mag 7. I do not get a 3 trillion market cap with 1 trillion cash flow.

Divya: You are describing from a valuation standpoint. If you are correct, they could potentially do a billion in free cash in a given year.

Mohnish: It is not even theoretical. They have done it in the past.

Divya: They have done it in the past? It begs the question, “Why on earth is this stock trading where it is?”

Mohnish: It is a four-letter word.

Divya: Is it that simple?

Mohnish: You are not allowed to utter the word.

Divya: Here is another point. I was reading this conference call transcript on AlphaSense, where there was an expert who was saying that people confuse metallurgical coal with thermal coal.

Mohnish: Yes. There is a lot of difference between thermal and metallurgical coal. Thermal coal is available across the globe in a gazillion places at various grades, low grade, high grade, whatever. The extremely high grades of thermal coal kind of border on being usable for metallurgical uses. But the

extremely high grades are very rare. Metallurgical coal sits in its own universe. This is one of the reasons why everything gets painted with a broad brush stroke. You have to separate thermal coal from metallurgical coal. We will not have a civilization without iron and steel, and we cannot produce enough iron and steel just by recycling the existing iron and steel. The only way you would not use metallurgical coal in terms of all the known processes of how to produce iron and steel would be to recycle steel. The problem with recycling steel is that places like India and China do not have enough scrap steel to take care of what their needs are. Advanced economies like the US or Japan have a lot of recycling of steel going on, where they scrap a lot of cars. We have 15 to 17 million cars a year, new cars being sold, and probably a somewhat similar number being scrapped. There is a very efficient mechanism to get that scrap steel. Most of it gets exported to China, but we do not have enough scrap steel. Also, you cannot produce the highest grades of steel by using scrap. At the end of the day, places like India, Indonesia, Vietnam, or eventually Africa, have huge appetites for iron and steel that cannot be fulfilled by recycling your way through it. Fifty years from now, we will still be burning metallurgical coal to produce iron and steel.

Divya: This is another thing we have talked about. You would prefer to buy names that you can sit on for decades. Potentially forever, right?

Mohnish: Sure.

Divya: I wish I had bought Microsoft when I was a preteen using the Windows operating system back when there used to be a 386 processor, made by Intel. That could have been my one position, and I would be very wealthy just from that one trade alone.

Mohnish: Bill Gates feels the same way. He wishes he had kept his Microsoft stock, so do not beat yourself up too much. It is okay.

Divya: He must be a little annoyed that others profited off all of his work, starting the business and everything. But one of the things you have talked about in the past is mistakes you have made with respect to selling positions where maybe you are up 3x on a stock, and you are like, “Oh, I am up 3x on a stock. I am going to sell and get out.” When really, you may miss another 20 x or so of gains. How does that experience impact the way you think about holding?

Mohnish: We are all too wise, too late. This is the story of my life. It took me a long time to learn that there are very few truly great businesses and truly great compounders. Very, very few. When you find yourself in the happy position of partial ownership of one of those types of businesses, do not get cute by selling when you think it is overpriced or fully priced, because you do not know what that is. Until it gets crazily egregiously overpriced, and it is obvious that that is the case if it is a great business that is still firing on all cylinders, just keep it.

Divya: What would be that break point for HCC?

Mohnish: Well, I would say that none of the Mag 7 currently sit at a point that I would call egregiously overvalued.

Divya: Yes. I would agree with that.

Mohnish: If you own them, I would just keep them.

Divya: Yes. Would you like to talk about Noble or Valaris first?

Mohnish: They are also very similar. A drillship is one of these things that would today cost around a billion dollars to build. It allows you to drill deep into the ocean without having feet on the ground, if you will. They are ships that have a hole in the middle to allow drilling and so on. It is an engineering marvel. The last time one of those ships was built was about 10 years ago. The industry went through a crazy orgy of overbuilding about 12 or 13 years ago, and then it went into a total nuclear winter where there was so many ships delivered. Almost all of the players went bankrupt because they were so highly levered, and rates collapsed, and all of that.

When we look at the situation today, things have come back into balance. A lot of the older ships have been scrapped. Nothing new has been built. When you look at companies like Valaris and Noble, and if you were to just look at their fleet and say, "Okay what would it cost to replace this fleet?" well, the cost to replace this fleet would be maybe 10 times the market cap because its trading is such extreme end of the thing. The second is that the current rates that you get paid for drillships and jackups, and all of do not justify a new build. For example, a new drillship, which would cost, let us say, a billion and would probably take you four or five years to get delivery, would require day rates in the range of seven or 800,000 a day to get some reasonable cost of capital back. You would need to get about 800,000 a day to get a 12% or 14% return on your capital, which is reasonable. Day rates today are in the four hundreds. You cannot go out and build a ship today, and every day and every year, ships get scrapped. This market is coming into a tightness. The other thing that people do not realize is that offshore drilling for oil has a very low cost. For example, in Brazil, which has huge amounts of offshore drilling, the cost of producing oil is 20 to $30 a barrel. It is almost half of what it costs with fracking to produce oil offshore. It is a long cycle time, high CapEx, but effectively, when you amortize it, you get to the 20, $30 a barrel type price, so it is very profitable. This is a situation where these companies have no debt or very low debt. They have great assets, and the market is gradually tightening. If rates were to go, for example, from the four hundreds to six or 700 a day, Valaris and Noble would be just printing almost the entire market cap in cash every year. That is why Mohnish is there.

Divya: Trump has been in the news a lot, trying to revive the American steel industry. You would think that some of those headlines would have had maybe a somewhat more positive impact on the stocks themselves. I am curious, is it a situation where there is just not enough research coverage, or why we are not seeing more of a positive reaction, or is it just that the world sees global manufacturing coming down because of tariffs?

Mohnish: Well, cell site coverage on the metallurgical coal names is almost non-existent. I will give you an example. I was talking to the CEO of one of these companies, and he told me that they had a 60 to 70-year-old relationship with JPMorgan, a banking relationship. They have never gone bankrupt. They have always been very profitable in banking. JPMorgan told them, "We cannot have you as a customer anymore. Please find another bank because we have too much ESG pressure." This is a highly profitable relationship for JPMorgan. Hundreds of millions of dollars are going through. They are not

borrowing money; they are not going to default on anything. They are never going to be a money-losing client. You are collecting all kinds of fees on a letter of credit and all of that. Why would JPMorgan say to them, "I do not want your business when I have had five decades with you"? Well, they are saying it for irrational reasons. These companies have a hard time getting insurance, getting banking relationships, getting anything because they are pariah and so on. It is not just on the sell side coverage or no sell side coverage. It is like when they are trying to get insurance, like workers' comp insurance, for example. These companies are self-insuring first 10 million in claims per worker covered by the company. They just need someone to give them a policy because it is required by law. Effectively, they are self-insured. They still have difficulty getting insurance because there are a bunch of companies that will not write that type of coverage. Surety companies, same issue. They need sureties for their minds. Again, they have difficulty; so many things that they need for their business, they repeatedly have difficulty getting. What that means is that for a new company to start in this industry, or a new mine, or a mine that has been shut down to restart, the factors to start it are so challenging that, effectively we are going to see a shrinking pool of productive minds at a time of increasing demand.

Divya: What level of access do you typically have? You have been doing this for a long time for the management teams. Is that something you require when you underwrite a new position? Do you know the CEOs of the offshore drilling companies you are invested in or the coal businesses?

Mohnish: We have spoken to most of them. We have met most of them because they are treated as pariahs. If I call, they will take my call. Nobody wants to talk to them, so they are happy to talk to Mohnish, but it is not needed. For most of my career, I did not even speak to management teams. For these coal names, you do not need any access. To me, what was more interesting was the visits, the site visits into the mines and meeting the workers, the head of mining, or the head of safety, or someone running the coal terminal, that sort of thing. Those guys were very valuable in terms of helping me build domain knowledge on how this business works.

Divya: How is your exposure now in Turkey? I know we have spoken about that on our last call. Are you still invested in Turkey at all, or are you completely out of it?

Mohnish: Yes. Long and strong. It took me a long time to figure out that when you have something good in your portfolio, you do not need to do anything with it; leave it alone.

Divya: Are you still in?

Mohnish: We have some exceptional businesses in Turkey. We bought them at very compelling valuations, and there is no need to do anything.

Divya: Is this the airport operator?

Mohnish: Yes, the airport operator. The warehouse operator. Their businesses are on fire.

Divya: What is the name of the airport operator?

Mohnish: It is called TAV Airports. TAV. In the US, all airports used to be government-owned and government-run. We now have one airport in the United States

that is privately run, which is LaGuardia, and you know what an armpit LaGuardia was before; you would avoid it like the plague. Now it is preferred to go through. The one to avoid is Newark; you do not want to go anywhere near Newark. But LaGuardia is an interesting case because the first time in the US that they have given it to a private operator for a long period, and they transformed the airport. 95, 96% of airports around the world are government-run and government-managed, and maybe four or 5% are private. In India, almost all the big airports are privately operated. They have BOT models: Build, Operate, Transfer. It makes all the sense in the world in the sense that the country gets a great airport without putting up any capital. A great operator runs it for a few decades, then gives all the infrastructure back to the government for free, and you go on from there. TAV Airports is a wonderful company because it has operating leverage. When passenger traffic goes up 5% or 10% in a year, their costs do not go up. It is pure operating leverage. Over time, their cash flows are just exploding; beautiful business.

Divya: Speaking of India, we had previously talked about the National Stock Exchange, maybe briefly. Then there was an energy trading company, Indian Energy Exchange. Yes. Did you ever take a position on any of those names?

Mohnish: We used to own IEX. We do not own it anymore, because in the middle, there was a lot of rumbling that started happening that the government was going to destroy that monopoly. It became very hard for us. We went in the too-hard pile. In the end, IEX is going to prevail. It is a beautiful business, but it has become just too difficult for us on that front. The National Stock Exchange of India, NSE, is not a listed company. It is a private company, and it will probably go public in the next year or two. It is a great business.

Divya: I was reading your daughter's write-up on it. It is pretty compelling. This is great. We are in a very macro-driven environment right now, and there are a lot of investors who are on eggshells with respect to rates. Trump, every now and then, bashes Jerome Powell for not lowering rates. Has the interest rate environment at all had an impact on how you are thinking about portfolio allocation? It sounds like the cold names do not even have debt, so maybe it is less of an issue there, but certainly from a valuation standpoint, multiples generally come down if rates are high.

Mohnish: The seesaw with the tariffs is damaging to the US economy. Those are some things you do not want to change on the fly. I agree with Trump that trade should be free and fair. I also agree with him that the US did not have the fairest deals with a lot of countries. They were taking advantage of where it was not symmetrical. But to go in with a sledgehammer and then keep changing things every few days or every few weeks or every few hours is very problematic. I wish they had taken a surgeon's precision approach, where they go to the large trading partners one by one and sit down with them and redo the deals without saying, “Okay, tariffs are 150%, and now we will sit down and talk.” It has already caused a lot of damage.

The good news is that they say they are going to have a deal with China, which would be very helpful. But they need to get the largest trading partners into a space where they are not on quicksand. That is the other problem that the partners have; they feel the US is unreliable because they feel that whatever deal we come up with, it might change in three weeks.

That does not bode well. People in the Trump administration need to spend more time with Adam Smith and David Ricardo. Some basic lessons are lost, and a lot of the trade where we got to was based on Adam Smith and David Ricardo, which is why we were doing well. I agree that there were unfair situations or countries taking advantage of the US and all that, and yes, that should get fixed, and I am glad Trump is fixing it. But charging ahead recklessly without thinking things through is not the right approach here.

Divya: What is your take on the big, beautiful bill? Obviously, there is no bill yet, but it is certainly a big headline.

Mohnish: Well, I am in Elon's camp. We should not have bills that increase the deficit. Elon saw firsthand how hard it is to cut, and then he sees this bill, which is going to add a few trillion, and that just probably rubbed him the wrong way. Even to get 50 billion in expense reduction is very hard. Everyone fights you all the way. Any bill that is not going to reduce deficits is not a good idea. We cannot afford even $10 more of excess deficit. The US is pushing all the limits. We borrow in our own currency, which gives us a lot of leeway. But really, I yearned for the days of Bill Clinton when the budget got balanced and had a surplus.

Divya: The ongoing deficit, how does that telegraph into your portfolio? Does it impact your portfolio at all?

Mohnish: It does. All the tariff stuff that is going on right now is not so much a deficit. The tariffs are going to create huge recessionary pressures globally in the US and elsewhere. It is not so much the interest rate. Interest rates are relatively benign right now. But the tariffs, you are playing with fire there.

Divya: Mohnish, we have a long chain of questions. We are not going to go through all of them. An easy one: What are you reading right now?

Mohnish: The book I have recently enjoyed is *Buffett and Munger Unscripted*. The author went through all the Berkshire annual meetings online, which are on buffett.cnbc.com. He reorganized them by subject, and that is a yeoman's effort. That is a lot of effort to do that. Not easy to do. Maybe AI makes it easier, but he did a masterful job of that. Larry Cunningham, the professor in New York, had done this for all the Berkshire annual reports, where he reorganized them by subject. If you wanted to know what Buffett ever talked about in his reports about inflation, or capital allocation, or return on equity, or any of these things, you could read that. The annual meeting stuff is even better than the annual reports, because the annual meetings are unscripted. He is not coming there knowing what questions are going to be asked and knowing what the answers are going to be. You have Munger in there, too, who is throwing in his input as well. The wisdom that came out of all of that, and to be able to reorganize by subject, that is fantastic.

Divya: You have a lot of Asia investing experience. Have you been bargain hunting in China at all?

Mohnish: I do not approach it that way. I look at it bottom up. I look at it from a company point of view. The last couple of years, we found met coal and the offshore drillers in the US. They are global businesses, and they are export powerhouses. They are sending stuff all over the place. Other things being equal, I prefer US governance over anything else. I was able to get US governance, and it is difficult. It is very difficult from my vantage point to

top what we found in Turkey, in the met coal, and in the drillers. Like I said, bottoms up. We look at things that are hated and unloved or being discarded, and that is where we go looking.

Divya: You had mentioned wanting to own 10 companies of equal size. It seems like you have four companies?

Mohnish: When we make a bet, we ideally want it to be a 10% bet. In an ideal world, if I were starting out on day one and I had 10 ideas, it would be 10% each. What happens is that when you buy something at 2% of liquidation value in Turkey, like we did, and it goes up, it is going to become around 40, 50% of the portfolio. We are now going to trim that because it is still undervalued. If you are successful as an investor, you are going to end up with 80% in a single position, and one should not have that many reservations about it. If you look at the Walton family and Walmart, for example, when Walmart went public, 55 years ago, the Walton family owned about 46% of Walmart. If you look at it today, they owned 46% of Walmart. Sam Walton died 33 years ago. The founder passed away, and the leaders are changing, but they have not done anything. They have been running this thing following the "set it and forget it" approach. The dividends that have come out of Walmart, if you ever visit Bentonville (one of the best places on the planet to live), you will see what they have transformed it into. It is a biking mecca. It is a cultural mecca. They have just transformed the place. It is incredible, and that has all come out of the dividends. They have never sold a share of stock. It is a very natural thing for entrepreneurs to be highly concentrated. Investors need to understand that when you do things well, you are going to end up with a heavy concentration in a few businesses, and that should be okay.

Divya: I want to end on a positive note. We have talked about some of the volatility with respect to the way the world is operating nowadays. What are you most optimistic about from a geopolitical standpoint, and also from a more domestic policy standpoint, if anything?

Mohnish: I am always a bull on America. We are somewhat playing with fire when we turn away the foreign students. That is a big issue. I mean, the tariffs, that is a big no-no from my point of view, especially the way they are being implemented. Messing around with foreign students? That is a huge mistake. Education is one of America's best exports. If we are talking about uneven trade, well, education is a great trade, and now we are turning away tourists, too, which is another major American export. I get concerned when we start messing with the crown jewels like that. I am hoping cooler heads will prevail. We should be making it easier to bring in the best talent from around the world. The United States has always done incredibly well by attracting top talent. Just look at the Mag 7. Look at who is running those companies, the senior leadership, and all of that. If you take foreign talent out of that picture, we have a real problem. We need to keep leveraging our strengths; bring in the best, make trade free and fair again, and let the country do what it does best. Just let it rip.

Divya: I think that will resonate with most of the folks on this call, hopefully everyone. Mohnish, this was great. What a privilege. Thanks again for taking the time and imparting your wisdom to all of us disciples of value investing. It has been great chatting. We will look forward to the next one, and hopefully, we can do something in person one of these days as well.

Mohnish: That would be great. Well, Divya, I always enjoy our banter, so thank you so much.

Divya: Mohnish, thanks so much. And thank you, AlphaSense, as well, for sponsoring. Looking forward to doing this again. Thanks everyone. Bye.

Mohnish: Thank you. Bye.

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